

Fundamentals of Management

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Chap-11, Designing Organizational Structure

Learning Objectives

- Define organizational structure & organizational design
- Identify the key elements of structure (work specialization, departmentalization, etc.)
- Understand mechanistic vs organic structures
- Know the common organizational designs (functional, divisional, matrix, etc.)
- Recognize factors (contingency variables) that influence structure choice

Organizational Structure/Organizational Design

- **Organizing:** Management function that involves arranging and structuring work to accomplish the organization's goal.
- **Organizational Design :** the process by which managers make decisions about structure: how to divide work, group jobs, establish relationships, authority, etc
- **Organizational Structure :** the formal arrangement of jobs within the organization; how work is divided, grouped, and coordinated.
- **Organizational chart** the visual representation of an organization's structure.

Organizational Structure

- **Purpose of Organizing:**
 - Divide work into jobs/departments
 - Assign responsibilities
 - Coordinate tasks
 - Establish authority and relationships
 - Allocate resources

Key Elements of Organizational Structure

Six Fundamental Elements:

1. *Work Specialization* – work activities are divided into jobs/tasks.
2. *Departmentalization* – grouping jobs together (by function, product, geography, customer, process).
3. *Chain of Command* – who reports to whom; clarifies authority and responsibility.
4. *Span of Control* – number of subordinates a manager can effectively manage.
5. *Centralization vs Decentralization* – where decisions are made: top vs lower levels.
6. *Formalization* – extent to which rules, procedures, written documentation govern behavior.

1. Work Specialization

- **Work Specialization** (also known as the division of labor) refers to the degree to which tasks in an organization are divided into separate jobs.
 - **Efficiency:** Enables employees to focus on specific tasks, leading to increased proficiency and speed.
 - **Skill Development:** Allows workers to become experts in their assigned tasks.
 - **Simplified Training:** Reduces the time and cost associated with training employees on multiple tasks.
- **Advantages**
 - **Increased Productivity:** Specialized tasks can be performed more quickly and with greater expertise.
 - **Consistency:** Standardized tasks lead to uniformity in output.
 - **Simplified Recruitment:** Easier to hire individuals with specific skill sets for specialized roles.
- **Disadvantages**
 - **Monotony:** Repetitive tasks can lead to boredom and decreased job satisfaction.
 - **Limited Flexibility:** Employees may be less adaptable to changes or new tasks.
 - **Coordination Challenges:** Increased interdependence among specialized roles can complicate coordination.

2. Departmentalization

- **Departmentalization** is the process of grouping jobs into departments, units, or divisions to coordinate activities efficiently.
 - Facilitates coordination and control by grouping related tasks and people.
 - Helps manage large organizations by dividing work into manageable units.
 - Departmentalization helps organize work and people into manageable units but requires effective coordination mechanisms to avoid fragmentation.

COMMON BASES OF DEPARTMENTALIZATION

Type	Description	Example
Functional	Grouping jobs by functions performed	Marketing, Finance, HR
Product	Grouping based on product lines	Electronics division, Furniture division
Geographical	Grouping by location or territory	Pakistan, UAE, Europe
Process	Grouping by production or work process	Casting, Assembly
Customer	Grouping by type of customer served	Retail customers, Government clients

3. Chain of Command

- **Chain of Command** is the unbroken line of authority that extends from the top of the organization to the lowest level, specifying who reports to whom.
 - Authority: The rights inherent in a managerial position to tell people what to do and to expect them to do it
 - Line authority: Authority that entitles a manager to direct the work of an employee
 - Staff authority: Positions with some authority that have been created to support, assist, and advise those holding line authority.
 - Responsibility: The obligation or expectation to perform any assigned duties.
 - **Unity of command:** The management principle that each person should report to only one manager.

4. Span of Control

Span of Control refers to the number of subordinates a manager can effectively supervise.

Types:

- **Narrow Span:** Few subordinates per manager; taller organizational structure.
- **Wide Span:** Many subordinates per manager; flatter organizational structure.

Factors Affecting Span of Control

- Complexity of tasks
- Manager's capabilities
- Geographic dispersion
- Level of formalization

Span of Control

Advantages & Disadvantages

Narrow Span

Closer supervision

Higher managerial costs

Slower decision-making

Wide Span

More autonomy for employees

Lower managerial costs

Faster communication

5. Centralization vs Decentralization

- **Centralization:** Decision-making authority concentrated at the top levels.
- **Decentralization:** Decision-making authority distributed to lower levels.

Centralization

vs

Decentralization

Uniform decisions

Faster decision-making

Easier to implement policies

Empowers employees

Slower response to local issues

Risk of inconsistent decisions

6. Formalization

- **Definition**

- Formalization is the extent to which jobs are standardized and the degree to which employee behavior is guided by rules and procedures.

- **Characteristics**

- Written rules and procedures
- Standardized job descriptions
- Clear guidelines for employee behavior

6. Formalization

Advantages

- Ensures consistency and predictability
- Reduces ambiguity in roles
- Facilitates training and coordination

Disadvantages

- Can reduce creativity and flexibility
- May lead to employee resistance
- Slows down decision-making in dynamic environments

Trade-offs & Pros/Cons of Key Elements

- **More work specialization** → efficiency gains but risk of boredom, poor coordination.
- **Broad span of control** → lower cost, faster decisions, but risk of overburdening managers.
- **Highly formalized structure** → consistency, predictability; but can stifle innovation and flexibility.

Mechanistic vs Organic Structures

- **Mechanistic:** Rigid, hierarchical, clear chain of command, narrow spans of control, high formalization, centralized. Suited for stable, predictable environments.
- **Organic:** Flexible, decentralized, fewer rules, broader spans, more cross-department communication, adaptable. Suited for dynamic, uncertain environments.

Mechanistic vs Organic Structures

FEATURE

Degree of specialization

Departmentalization

Formalization

Span of control

**Decision making /
communication**

MECHANISTIC

High

Rigid, hierarchical

High

Narrow

Centralized, formal channels

ORGANIC

Lower, broader roles

Flexible, cross-functional teams

Low

Wider

Decentralized, informal / lateral
communication

Contingency Factors Affecting Structure

- **Strategy:** Innovation vs. cost leadership
- **Size:** Larger organizations tend to be more mechanistic
- **Technology:** Routine vs. non-routine tasks
- **Environment:** Stable vs. dynamic markets

Types of Organizational Structures

1. **Traditional Organizational Structures**
2. **Non-Traditional (Contemporary) Organizational Structures**

Traditional Organizational Structures

- **Traditional Organizational Structures**
 - Emphasize hierarchy, clear roles, chain of command, and formal control systems.
 - **Simple Structure**
 - **Functional Structure**
 - **Divisional Structure**
 - **Matrix Structure**
- *Best for:* predictable environments, stable processes, clear task specialization.
Key features: formalization, centralized authority, clear reporting lines.

Non-Traditional (Contemporary) Organizational Structures

- **Non-Traditional (Contemporary) Organizational Structures**
 - Emphasize flexibility, collaboration, adaptability, and flattened hierarchies.
 - **Team-Based Structure**
 - **Project-Based Structure**
 - **Boundaryless Organization**
 - **Virtual / Network Organization**
- *Best for:* dynamic environments, innovation-driven industries (e.g. tech, startups).
Key features: decentralized decision-making, cross-functional teams, use of external partners.

Common Traditional Organizational Designs

1. **Simple Structure:** little departmentalization, wide span, centralized, low formalization.
 - Good for small or startup organizations.
2. **Functional Structure:** grouping jobs by function (e.g. engineering, marketing, finance).
 - Specialization, economies of scale but can face silos, coordination problems.
3. **Divisional Structure:** group by product, service, geography, customer segments.
 - More autonomy for each division.
4. **Matrix Structure:** dual reporting (e.g. functional & project), balanced power between lines.
 - Allows resource sharing but can cause conflict.

Contemporary (Non-Traditional) Organizational Designs

1. **Contemporary (Non-Traditional) Organizational Designs**
2. **Team Structure** – works in teams, self-managed / cross functional.
3. **Project Structure** – people assigned permanently or temporarily to projects.
4. **Boundaryless / Network / Virtual Structures** – less rigid boundaries; more fluid relationships internally or externally.

Contingency Factors: What Influences Structure Choice

- Strategy of the firm – structure should align with strategic goals.
- Size of the organization – large organizations often need more formalization, departmentalization.
- Technology – the more routine the tasks / process, the more mechanistic; less routine → organic.
- Environment (uncertainty, complexity, change) – stable vs dynamic environment affects whether organic design is preferable

Organizing for Flexibility

- **Virtual Organizations:** Use technology to connect dispersed teams
- **Network Organizations:** Outsource major functions
- **Learning Organizations:** Continuously adapt and grow
- **Remote Work Considerations:** Staying connected and informed

ANY QUESTIONS ???????????